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18. Prepare trading and profit and loss account and balance sheet in the books of Deri, a trader, from the following balances as on March 31, 2018.

Debit Balances	`	Credit Balances	`
Stock	10,000	Sales	1,22,500
Cash	2,500	Creditors	5,000
Bank	5,000	Bills payable	2,000
Freight inwards	750	Capital	1,00,000
Purchases	95,000		
Drawings	4,500		
Wages	27,500		
Machinery	50,000		
Debtors	13,500		
Postage (office)	150		
Sundry expenses	850		
Rent paid	2,500		
Furniture	17,250		
	2,29,500		**2,29,500**

Closing stock (31st March, 2018) ` 8,000

(**Answer**: Gross loss: ` 2,750; Net loss: ` 6,250; Balance sheet total: ` 96,250)



Operating profit is the profit earned from the normal operating activities of a business entity. Operating profit is the difference between operating revenue and operating cost.

Operating profit = Operating revenue – Operating Cost

= Net sales – (Cost of goods sold + other operating expenses)

= Net sales – (Cost of goods sold + office and administration expenses + selling and distribution expenses)

Operating profit is also called Earning Before Interest and Tax, ie., EBIT

Operating activities mean the activities relating to normal or main business of an enterprise. Operating revenues are the revenues earned in the normal course of business and operating cost is the cost incurred in the normal course of business of an enterprise.

Operating cost includes cost of goods sold and other indirect operating expenses such as office and administration and selling and distribution expenses. Purely financial expenses interest on loan and incomes such as dividend received are not included in operating expenses.